

11.7 per cent by 2006. With no clear agreement on the total amount of the expected turnover, most of the industry players have anyway indicated that business is growing faster than expected. E.g. German mobile portal Jamba has reported 300,000 Java application downloads/month out of which 80 per cent are games. Mobile game business has a very short business cycle. A typical game title is valid for the market and sells well approximately 6-12 months dependant on its geographic distribution range. In addition, the mass markets for mobile game titles are very global. A company aiming to gain major revenues in the markets has to find methods and activities to bring its products for the main markets, such as Japan, USA and Korea. This may become a major obstacle for a small company starting its operations in the mobile game business. The small company needs to find strong distribution partners to help it in its efforts. In addition, a game developer has to find means to localise their productions to the key markets in the most efficient manner.

The initial price for a mobile game has been relatively low, around 2 to 7 euros per game. Multiple early adaptors in the game business are testing and buying mobile games at this price. The only exception in the game pricing has been the N-Gage cartridges priced to 20-40 euros per title. Yet, these are much broader and more complex games than the compact downloadable games from the operators' networks.

When consumers are getting used to purchasing mobile games it is clear that the demand for games' quality will increase. Players are expecting the service provider to guarantee that the value of the purchase matches the price paid for it. If there will be a lot of disappointments, the industry may be harmed by inflating reputation. It is important to price games according to their perceived value. Older games should be cheaper than new titles, e.g. launch of new FIFA Football mobile 2005 would immediately decrease the price of FIFA 2004 game at a mobile portal.

Currently the most sold game genres among the consumers have mostly been action driven games (space, shooting, sports and